

Bought a car above ₹10 lakh?

That 1% is yours to claim.

The full numbers from my car TCS video, plus exactly how to get that money back in your tax return.

You commented "PDF", so here it is. In the video I showed how the dealer quietly collects 1% extra when you buy a car above ₹10 lakh. This guide shows where that money goes, how it comes back to you, and what to ask for at the showroom so you don't lose it.

- 1 It is not a cost.** The 1% TCS is your own income tax, paid in advance against your PAN.
- 2 It only comes back if you claim it.** Nobody sends it to you. You claim it when you file your ITR.
- 3 Ask for the TCS certificate.** Form 27D for older purchases, Form 133 for cars bought from April 2026.

TCS RATE

1%

APPLIES ABOVE

₹10 lakh

ON A ₹40L CAR

₹40,000

CLAIM IT IN

Your ITR

What the dealer *collects from you*

The rule is simple: if the car's sale value is above ₹10 lakh, the dealer adds 1% TCS on top and deposits it with the Income Tax Department against your PAN.

1 TCS at different car prices

CAR SALE VALUE	TCS COLLECTED (1%)	WHAT IT MEANS FOR YOU
₹10,00,000	₹0	Exactly ₹10 lakh is not "above" ₹10 lakh, so no TCS
₹10,50,000	₹10,500	Just over the line, so 1% applies on the full value
₹15,00,000	₹15,000	A typical mid-size SUV range
₹25,00,000	₹25,000	Claimable in the ITR for that year
₹40,00,000	₹40,000	The example from the video

TCS = 1% of the sale value shown on the dealer's invoice, applied per vehicle. Check the TCS line on your own invoice for the exact amount.

THE ONE THING TO NOTICE

Once the value crosses ₹10 lakh, the 1% is on the whole amount, not just the part above ₹10 lakh. That is why it adds up fast on bigger cars.

ABOUT THE "REFUND" AND THE FORM NAME IN THE VIDEO

Two small corrections. First, TCS is a tax credit. If you have other tax to pay that year, the TCS reduces that bill first, and only the extra comes back as a refund (Part 3 shows this with numbers). Either way, you get the full value back. Second, the Income-tax Act, 2025 came into force on 1 April 2026 and renamed the forms. Form 27D and Form 26AS are right for cars bought up to 31 March 2026. For cars bought from 1 April 2026, the certificate is Form 133 and the tax statement is Form 168. Also, a car priced at exactly ₹10 lakh has no TCS; it has to be above ₹10 lakh.

Where your 1% *actually* goes

The money doesn't disappear. It travels from the dealer to the government and sits there with your PAN on it, waiting for you to claim it.

2 The journey of your TCS

1 Dealer collects Adds 1% on the invoice when the car's value is above ₹10 lakh.	2 Dealer deposits Pays it to the government and files a quarterly TCS return with your PAN.	3 It shows on your PAN Appears as a tax credit in Form 26AS (now Form 168) and in your AIS.	4 You claim it Your ITR counts it as tax already paid. Extra comes back as a refund.
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The key point: step 4 never happens on its own. If you don't file an ITR for that year, the credit just sits there. This is why people "lose" this money. It was never taken away, it was simply never claimed.

3 Same thing, new names from April 2026

CAR BOUGHT UP TO 31 MARCH 2026 • Law: Section 206C(1F), Income-tax Act, 1961 • Certificate from dealer: Form 27D • Where the credit shows: Form 26AS and AIS	CAR BOUGHT FROM 1 APRIL 2026 • Law: Section 394, Income-tax Act, 2025 • Certificate from dealer: Form 133 • Where the credit shows: Form 168 and AIS
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THIS TOOK ME A WHILE TO GET

TCS is not a new tax on cars. It is a way for the government to track big purchases against your PAN. The 1% is simply your own income tax, collected early.

How the ₹40,000 *comes back to you*

Your ITR adds up all the tax already paid on your PAN (TDS, advance tax and TCS) and compares it with the tax you actually owe. Here are three people who each bought the ₹40 lakh car.

4 Three buyers, same ₹40,000 TCS

BUYER	TAX OWED FOR THE YEAR	TDS ALREADY PAID	TCS ON CAR	RESULT
A · Income below taxable limit	₹0	₹0	₹40,000	Refund ₹40,000
B · Salaried, TDS covers all tax	₹1,20,000	₹1,20,000	₹40,000	Refund ₹40,000
C · Owes some tax at filing	₹1,80,000	₹1,20,000	₹40,000	Pay ₹20,000

Result = tax owed minus TDS minus TCS. A negative balance is refunded; a positive balance is paid. Illustrative figures only.

Look at Buyer C. Without the TCS credit, C would have paid ₹60,000 at filing. With it, C pays only ₹20,000. There is no "refund" in the bank, but C still got the full ₹40,000 of value back, as a smaller tax bill.

Buyer A is the case people miss most. Someone with income below the taxable limit, say a parent or spouse in whose name the car was bought, may think they don't need to file an ITR. If they don't file, the ₹40,000 stays with the government.

WHAT FINALLY SETTLED IT FOR ME

Whoever's PAN is on the invoice gets the credit. So the person in whose name the car is bought is the one who must file the ITR to claim it.

From showroom *to refund*

Three moments matter: the day you buy, a few weeks after the quarter ends, and the day you file your ITR.

5 At the showroom

- 1 **Give your correct PAN.** Check that the name and PAN on the invoice match the person who will claim the credit. A wrong PAN means the credit lands on someone else, or nowhere.

- 2 **Check the TCS line on the invoice.** It should show 1% of the sale value as TCS, separately from GST and other charges.

- 3 **Ask when you'll get the TCS certificate.** It is issued quarterly, after the dealer files the TCS return, so it won't be ready on delivery day.

6 After the quarter ends

- 4 **Collect the certificate.** Form 27D (bought up to March 2026) or Form 133 (bought from April 2026). It is due 15 days after the dealer's quarterly return: by 15 August for April to June purchases, 15 November for July to September, 15 February for October to December, and 15 June for January to March.

- 5 **Check your PAN statement.** Log in to the income tax e-filing portal and look at Form 26AS / Form 168 and your AIS. The TCS amount and the dealer's name should appear.

- 6 **If it's missing, go back to the dealer.** The usual reasons are a wrong PAN or a late TCS return. Only the dealer can correct this, so do it early.

7 When you file your ITR

- 7 **Confirm the TCS shows under taxes paid.** The portal usually pre-fills it from your PAN statement. Match it with the certificate.

- 8 **File on time and e-verify.** The refund is processed only after the return is verified. It goes to the bank account you pre-validated on the portal.

The questions *people actually ask*

A few situations that change how the TCS works, or who gets to claim it.

8 Common situations

SITUATION	WHAT HAPPENS
Car bought on a loan	TCS still applies. It is based on the car's sale value, not on how you pay for it. The credit goes to the buyer's PAN.
Car in spouse's or parent's name	The credit goes to their PAN, not yours. They need to file an ITR to claim it, even if their income is low.
You're salaried	Since October 2024, you can ask your employer to count TCS when deducting TDS from salary. Your monthly TDS can come down, so you don't wait till ITR time.
You don't give a PAN	A higher TCS rate applies, and without your PAN on record the credit can't be matched to you. Always give your PAN.
Not just cars	Since 22 April 2025, 1% TCS also applies to certain notified luxury goods above ₹10 lakh, like watches, handbags, art, yachts and home theatre systems. Claim them the same way.
Bikes count too	The rule says "motor vehicle", not just car. A superbike with a sale value above ₹10 lakh attracts the same 1% TCS.

A SHORTCUT I USE NOW

If you're salaried, tell HR about the TCS in the same financial year you buy the car. Under the old rules this was done with Form 12BAA; ask HR which form they use now. Your employer then deducts less TDS for the rest of the year, so the money stays in your salary instead of waiting for a refund.

Your car TCS *checklist*

Print this or screenshot it before you go to the showroom. Tick each one off.

9 Before and at purchase

- ☐ **Decide whose name the car goes in**, knowing that person must file an ITR to get the TCS back.
- ☐ **Share the correct PAN** and check it on the booking form and invoice.
- ☐ **Note the TCS amount** shown on the invoice.

10 In the weeks after

- ☐ **Collect the TCS certificate** (Form 27D or Form 133) from the dealer.
- ☐ **Check Form 26AS / Form 168 and AIS** on the e-filing portal for the TCS entry.
- ☐ **If salaried, inform HR** so it can be adjusted in your TDS.
- ☐ **Save the invoice and certificate** in one folder with your tax papers.

11 At ITR time

- ☐ **Match the TCS** in the pre-filled ITR with your certificate.
- ☐ **Pre-validate your bank account** on the portal so the refund can be paid.
- ☐ **File before the due date and e-verify** the same day.

THE ONE THING TO NOTICE

Every step here takes a few minutes. The only expensive mistake is doing nothing.

The glossary, *in plain words*

Every tax term from the video and this guide, explained once.

TCS

TAX COLLECTED AT SOURCE

Tax the seller collects from you at the time of sale and pays to the government on your behalf.

"Vaangumbodhey seller tax ah collect pannuvaanga."

TDS

TAX DEDUCTED AT SOURCE

Tax cut from money paid to you, like salary or interest, before it reaches you.

"Sambalathula irundhey tax cut aagum."

PAN

PERMANENT ACCOUNT NUMBER

Your 10-character tax ID. Every TCS and TDS credit is tracked against it.

"Unga tax account number idhu thaana."

Form 27D

TCS CERTIFICATE (OLD RULES)

The certificate a seller gives you as proof of TCS collected, for purchases up to 31 March 2026.

"Dealer kudukkura TCS proof."

Form 133

TCS CERTIFICATE (NEW RULES)

The new name for the TCS certificate under the Income-tax Rules, 2026, from 1 April 2026.

"Pudhu rules la 27D oda pudhu peru."

Form 26AS

ANNUAL TAX STATEMENT (OLD)

The statement on the tax portal listing every tax credited to your PAN.

"Unga PAN la evlo tax credit aagirukku nu kaattum."

Form 168

ANNUAL TAX STATEMENT (NEW)

The replacement for Form 26AS under the Income-tax Act, 2025.

"26AS oda pudhu version."

AIS

ANNUAL INFORMATION STATEMENT

A wider statement on the portal showing your income, purchases and tax credits for the year.

"Unga varusha financial report card."

ITR

INCOME TAX RETURN

The yearly return where you report income, claim credits and settle tax or get a refund.

"Varushathukku oru thadava file pannanum."

Tax credit

TAX ALREADY PAID

Tax paid in advance on your PAN that is subtracted from your final tax bill.

"Munnaadiye kattuna tax, kanakku la kazhiyum."

Refund

EXCESS TAX RETURNED

What you get back when the tax already paid is more than the tax you owe.

"Adhigama kattuna kaasu thiruppi varum."

E-verify

CONFIRMING YOUR RETURN

The final step after filing, usually by Aadhaar OTP. Without it, the return isn't processed.

"OTP pottaa thaana file mudinjadhu."

Ex-showroom price

PRICE BEFORE ROAD COSTS

The car's price at the showroom, before registration, insurance and other on-road charges.

"Road tax, insurance serkkaadha vilai."

Sale value

SALE CONSIDERATION

The amount the dealer charges for the vehicle on the invoice. TCS is worked out on this.

"Invoice la irukkura car vilai."

Quarterly TCS return

SELLER'S FILING

The return a seller files every quarter so your TCS reaches your PAN statement.

"Moonu maasathukku oru thadava dealer file pannuvaanga."

How the *numbers* were worked out

Every figure in this guide, and where it comes from.

1. **TCS rate and threshold:** 1% on a motor vehicle whose sale value exceeds ₹10 lakh, per vehicle. Section 206C(1F) of the Income-tax Act, 1961, carried into Section 394(1), Table Sl. No. 6 of the Income-tax Act, 2025 from 1 April 2026. Income Tax Department TCS rates page ([incometaxindia.gov.in](https://www.incometaxindia.gov.in)) and the TaxGuru TCS rate chart for tax year 2026-27.
2. **New form names:** Form 27D replaced by Form 133, Form 26AS replaced by Form 168 under the Income-tax Rules, 2026, from 1 April 2026. Business Today (11 March 2026) and Ebizfiling summaries of the renumbered forms.
3. **Claiming TCS in the ITR:** TCS appears in Form 26AS/AIS and is claimed under taxes paid; excess over tax payable is refunded. Business Today (11 July 2026), ClearTax guide on TCS on car purchase.
4. **Salaried TDS adjustment:** Finance (No. 2) Act, 2024 allowed TCS to be considered for salary TDS from 1 October 2024 (Form 12BAA under the old rules).
5. **Luxury goods:** 1% TCS on notified luxury goods above ₹10 lakh from 22 April 2025, CBDT Notification No. 36/2025; carried into Section 394(1), Sl. No. 6(b) from 1 April 2026.
6. **Certificate due dates:** Form 133 (earlier Form 27D) is issued quarterly from TRACES, within 15 days of the due date of the quarterly TCS statement. Income Tax Department FAQ on Form 133.
7. **Method:** $TCS = 1\% \times \text{sale value}$ when the value is above ₹10,00,000. Buyer scenarios on page 4: balance = tax owed – TDS – TCS, all computed in a script. Scenario incomes and tax amounts are made up to show the mechanics.

DISCLAIMER

This guide is for education only. It is not investment, tax or legal advice, and it does not recommend any specific car, dealer or tax service. I am not a SEBI-registered investment adviser. Tax rules, section numbers and form names changed on 1 April 2026 and can change again. Your refund depends on your total income and taxes for the year. Figures are examples. Check the income tax e-filing portal or speak to a chartered accountant before acting.

Found your TCS in Form 26AS? *Tell me the amount* in the comments.

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